ECON251 Industry and Trade in Asia
Online Quiz revision set

Practise Questions

The government of Bahrain examined the success of the Bangladesh economy. It is considering imitating by stepping up its rate of industrialisation by expanding and developing the garment industry as its main growth sector for the next 10 years.

Domestic Supply Function: Q = 100 + 2P

Domestic Demand Function : Q = 600 – 3P

The current free trade price is $80

Where P and Q refers to the price and quantity of a piece of sweater

X: Export
M: Import

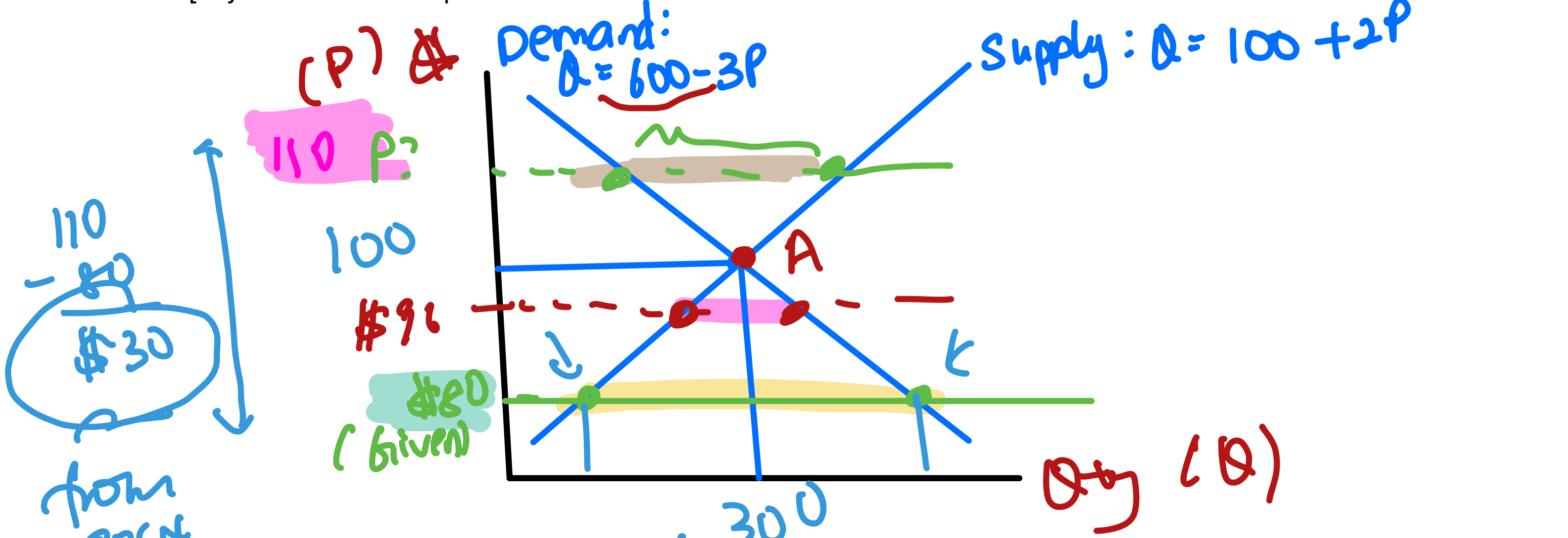
The trade ministry of Bahrain are considering the following proposals

Proposal A : Inward orientation approach , adopting trade restriction tools - a tariff of 25% on imports vs imposing a quota of 20 units.
Proposal B: Outward orientation approach by reaching an export target of 50 units

excess = $Q^s - Q^d$

Status	Price	Qty (supply)	Earnings $= P \times Q^s$	Govt taxes/spending	Qty of Trade (X or M)
No trade $Q^d = Q^s$	$100	300	$30,000	0	0
Free trade	$80	260	20,800	0	M = 100
Tariff of 25%	= 1.25 x 80 = $100	300	$30,000	$0	M = 0
Quota of 20 units	$96	292	28,032	$0	M = 20
Export target of 50 units	$110	320	35,200	$1500	X = 50

[key answers will be posted on Moodle after the discussion



from govt = subsidy ⇒ total subsidy = $30 × 50 (export) = $1,500 no trade: $Q^d = Q^s$

no surplus / excess & no shortage

$600 - 3P = 100 + 2P$

$5P = 500$

$P = \$100$

$Q = 600 - 3(100) = 300$

or $Q = 100 + 2(100) = 300$

Given $P = \$80$

$Q^s = 260, \quad Q^d = 360$

shortage of 100 units

= import. [vs 80×360 28,800]

new earnings = $\$80 \times 260$

= $\$20,800$ (falls).

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w/ tariff of 25% = $\frac{25}{100} \times 80$

= $\$20$ (tax)

new price = $\$80 + \$20$ (tax)

= $\$100$

[⇒ 1.25×80]

$Q^s = Q^d = 300$

$M = 0$, tax revenue

= $\$20 \times 0$

$= \$ 20 \times Q$ units.

Effect of Quota: $m = 20$

$m = 20 = Q^d - Q^s$

$\underbrace{\text{shortage}}$ $20 = 600 - 3P - (100 + 2P)$

$20 = 500 - 5P$

$5P = 480 \Rightarrow P = \frac{480}{5}$

$= \$96$

At $P = \$96$, $Q^s = 292$

Earnings $= 96 \times 292$

$= \$28{,}032$.

Export target $X = 50$

$X = \text{excess} = Q^s - Q^d = 50$

$[100 + 2P] - [600 - 3P] = 50$

$-500 + 5P = 50$

$5P = 550$

$P = \$110$ $(> \$100)$

$Q^s = 320$, Earnings

$= 110 \times 320$

$= \$35{,}200$

Practise MCQS

1. Which of the following is a tactic suggested by the structuralist school (under inward oriented growth) to promote economic growth and development for the developing economies ?

   a. Impose high tariffs on imported industrial goods to promote local consumption and production
   b. Promote the state-owned enterprise
   c. Revalue the local currency to import the required capital and technology to boost local production
   d. All of the above

2. The table below shows the combination of inputs capital (K) and labour (L)for the production of output (Y) where **Y = KL**; The country started with an initial capital -labour ratio of 4: 2

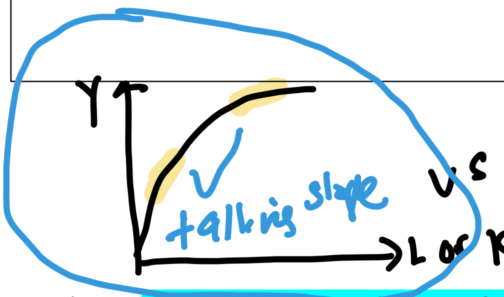
   At which level of capital – labour combination did the Law of Diminishing returns sets in?

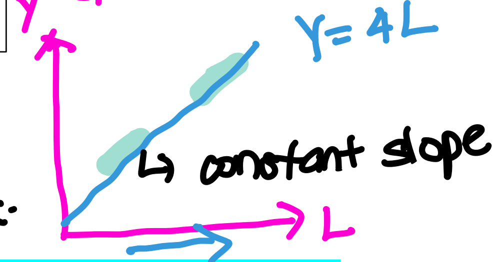
K	L
4	2
4	4
4	16
4	32

Rewrite the production function then use either mathematical or graphical method

$Y = 4L$

$\frac{dy}{dL} = 4$





   a. K = 4, L = 2

   b. K = 4, L = 4

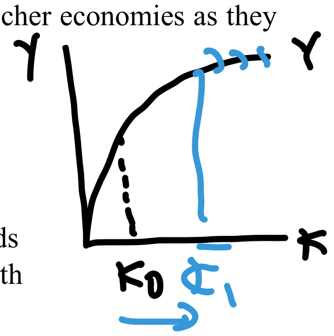
   c. K = 4, L = 32

   d. None of the given options [There is no DM as the rate of output increase was constant]

3. A country's level of labour productivity can be measured by considering

   a. The number of workers employed in the industry sector
   b. The growth rate of the manufacturing sector
   c. Output per employed worker
   d. Total output divide by the labour force

4. The Solow's Growth Model suggests
   a. Poor economies will only need to obtain more funding to increase the level of capital accumulation to increase their output. This will lead to a permanent rise in their GDP in these economies
   b. Poor economies can increase the use of natural resources to experience a temporary rise in their GDP
   c. Poor economies should continue to export primary goods to the richer economies as they are adopting the principle of comparative advantage
   d. None of the above



5. The Dependency Theory explains

   a. why primary products prices are lower than the manufactured goods
   b. the importance of capital accumulation to promote economic growth

c. why the GDP per capita of the rich and the poor economies may widen as they trade with each other
d. None of the above

6. Which of the following explains the difference between primary vs manufactured goods

a. Only capital goods are employed in the production of manufactured goods
b. Government in Asia economies set up the Export processing zone for production of manufactured goods
c. Government in Asia economies only provide export subsidies to primary goods
d. Firms producing primary goods face a more unstable supply and lower revenue ,as compared to those producing manufactured goods

low ← (P × Q) → irregular

7. Which of the following is not considered as an advantage of export-oriented industrialization?

a. It overcomes the smallness of the domestic market and allows developing nations to take advantage of economies of scale.
b. The domestic industries grow accustomed to protection and have an incentive to become more efficient.
c. The large scaled production of manufactured goods for export can stimulate efficiency for the economy, generating externalities and linkage benefits as well .
d. The expansion of manufactured sector is not limited by the size of the domestic market.

8. The key difference between an import tariff vs a quota is

a. A tariff is a fixed dollar unit tax [regardless of the world price] on imports but quota is based on a fraction of the world price

b. Government impose a tariff on agriculture goods but a quota on manufactured goods

c. Government collect less taxes from the tariff

d. The final level of import is uncertain under the tariff scheme whilst the quota scheme will allow government to know the precise level of trade protection

* 9. Which of the following are the key reforms that are required for any economy to approach trade liberalisation?

a. Government to remove all import quota in the country
b. Government to reduce all tariffs to zero in the country
c. Government to allow foreign firms to enter into mergers deals with the local firms
d. Government to sign bilateral trade agreement with regional country

10. A country's initial foreign exchange rate is given as 10 000 peso to USD1. If the country wish to promote her country's export, assuming all things constant, which is the appropriate exchange rate policy?

a. Government to devalue the peso to 8,000 per USD

b. Government to devalue the peso to 30,000 per USD

c. Government to revalue the peso to 15,000 per USD

10,000 peso = USD 1.

1 peso = $\frac{1}{10,000}$ USD

local   foreign.

1 peso = $\frac{1}{30,000}$ USD

Foreigners pay less than $\frac{1}{10,000}$.

Suffer.

d. Government to revalue the peso to 30 000 per USD

11. A country's degree of openness to the world can be measured via

a. Total trade out of the GDP ↳ i.e $\frac{X+M}{GDP}$
b. Net trade out of the GDP ↳ i.e $\frac{X-M}{GDP}$
c. Total tariff less subsidy
d. All of the above

12. Which of the following defines the level of FDI inflows

a. It includes both greenfield and brownfield investment
b. It only includes greenfield investment
c. It only involves the private firms
d. None of the above

13. Which of the following is a valid argument for FDI inflows?

a. Helps to increase the rate of industrialisation in the host country
b. The foreign firms/ MNCs may bring in a new or higher level of technology and knowledge transfer for the host country .
c. The foreign firms/MNCs can create linkages for the local firms in the host country
d. All of the above

14. Which of the following best define an Export processing Zone (EPZ)

a. It is an enclave with land parcels and facilities set up by the local government
b. It is used as a tool to attract FDI
c. It is one of the common export promoting tools used in Asia economies
d. All of the above

15. The key evaluations **against** the Export Processing Zone (EPZ) includes

a. Exploitation of workers
b. Insufficient export earnings – due to not able to react fast to market changes.
c. Large negative spillovers especially on the environment
d. All of the above